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**BEFORE THE SOLE ARBITRATOR
SR. ADV. NITIN N. N. P. SARDESSAI
AT PANAJI – GOA**

1. VIKRAM SHAH

...CLAIMANT

VERSUS

1. MR. RIVA TRINDADE

2. MRS. ALBERTINA TRINDADE

3. MRS. KARITA TRINDADE

4. MR. MURLIDHAR SADARANGANI

...RESPONDENTS

Adv. Kaif Noorani appearing on behalf of the Claimant. Authorized Representative of the Claimant Shri. Hemavand Namdarian present.

Adv. Vledson Braganza appearing on behalf of Respondent No. 1, 2 & 3. Respondent No. 1 Shri. Riva Trindade present.

Respondent No. 4 Mr. Murlidhar Sadarangani appearing in person via video conference.

Dated: 08th June, 2025.

Order:

1. This is an order on application dated 15.02.2025 filed by the Respondent no. 1, 2 and 3 seeking modification of the minutes of proceedings dated 26.08.2024. This Tribunal had passed the following order on 26.08.2024, "*All the costs and fees pertaining to the Arbitration shall be borne equally by the contesting parties. The fees payable shall be in terms of the 4th Schedule to the Arbitration and Conciliation Act,*

1996, since the appointment is made by the Hon'ble High Court of Bombay at Goa. Initially all the contesting parties shall deposit by 06.09.2024, an amount of Rs. 3,00,000/- each in the account of the Arbitrator by NEFT or RTGS".

By virtue of the said order all the contesting parties were called upon to deposit by 06.09.2024 an amount of Rs. 3,00,000/- each as cost and fees pertaining to the arbitration.

2. Accordingly, the Claimant and Respondent No. 4 have deposited an amount of Rs. 3,00,000/- on 09.09.2024 while Respondent No. 1, 2 and 3 have deposited an amount of Rs. 3,00,000/- on 06.09.2024 and another sum of Rs. 3,00,000/- on 15.10.2024.
3. It is the case of the Respondent No. 1, 2 and 3 that it would be against the scheme of the act, in addition to it being unfair to them if the phrase "contesting parties" in the aforesaid minutes is interpreted to mean "parties to these proceedings" instead of the same being interpreted as "parties to the arbitration agreement". It is their case that a tripartite agreement was entered into by the Claimant, Shri. Pascol Trindade and Respondent No. 4. Shri. Pascol Trindade passed away on 17.01.2022. in terms of the said tripartite agreement, the expression "party of the first part" unless repugnant to its context or meaning thereof will include Pascol's wife, legal heirs, executors and administrators. The Respondents No. 1, 2 and 3 being wife and legal heirs of Late Shri. Pascol were joined as parties before this Tribunal.
4. It is further their case that their claim in the present litigation does not and cannot be more than what was the entitlement

of late Shri. Pascol Trindade under the said tripartite agreement. If the above minutes are so interpreted to mean, that the term "contesting parties" mean parties to these proceedings instead of parties to the original agreement then Respondent No. 1, 2 and 3 will have to deposit an amount of Rs. 9,00,000/- as compared to the amount of Rs. 3,00,000/- each by the Claimant and Respondent No. 4, respectively. The same will be unfair as their claim in this litigation is only to the share of one of the parties of the agreement.

5. I have heard Adv. Vledson Braganza for the Respondents No. 1, 2 and 3/ the applicants in the present application, Adv. K. Noorani on behalf of the Claimant and Respondent No. 4 in person on Video Conference.
6. Adv. Braganza argues that parties referred to in the said minutes have to be understood as "parties" to the original agreement and draws my attention to para 9 of his application and relies on Section 38(2) r/w Section 2(h) of the Arbitration and Conciliation Act, 1996. He further relies on the judgement of ONGC reported in (2024) 4 SCC 481 and points out that the fees have to be decided in the preliminary meetings/ hearings in the presence of all the parties. That his clients were not heard when the said minutes were recorded and in any case, it was not the preliminary hearing as such great injustice is being caused to his clients.
7. Adv. Noorani has a considerable quarrel with these submissions. It is his argument that the said minutes does not require any modification as the same cannot be faulted with. He argues, by drawing a thin line of distinction between the term deposit and fees and has drawn my attention to the

provisions of Section 31-A and Section 38 of the Arbitration and Conciliation Act, 1996. He further argues that “party” need not necessarily mean a “signatory” to the contract. He also relies on the same judgment of ONGC.

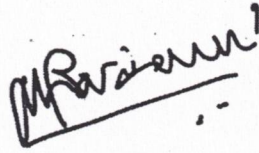
8. Respondent No. 4 appearing in person submits that Kuval Projects Pvt. Ltd. needs to be joined as a party in these proceedings in view, of the liabilities that arise, consequent upon joint venture agreement dated 25.04.2014. In the alternative, Respondent No. 4 fairly concedes that the Respondent No. 4 shall not question to the wisdom as regards which of the parties needs to deposit what sum of money and further states that he will abide by the tribunals order. He however requests the tribunal to expedite the main proceedings.
9. I have applied my mind to the submissions made and the material on record. Firstly, the submission of the Respondent No. 4 has to be mentioned, only to be rejected. This tribunal has been called up to decide the application dated 15.02.2025 for Modification of Minutes dated 26.08.2024. None of the parties here have filed any application for joinder/ addition of parties.
10. The Hon’ble Supreme Court in ONGC judgment (*supra*) has issued directions under Article 142 of the Constitution to adopt the guidelines for conduct of Arbitrations in India. One of the guidelines is that the fees payable should be decided at a preliminary hearing of all the parties concerned.
11. It is an undisputed fact that on 26.08.2024 when the impugned minutes were drawn, Respondents No. 1, 2 and 3,

were not present before the tribunal as they were not even served. In any case, it cannot be called a preliminary hearing of all parties. No order can legally be passed against any party, without affording them a hearing, if the same can prejudice them financially or otherwise. It indeed will be unfair to make Respondent No. 1, 2 and 3 who are legal heirs/ moiety of late Shri. Pascol Trindade to deposit an exorbitant amount of Rs. 9,00,000/- while Claimant and Respondent No. 4 deposit a lesser amount.

12. One should not lose sight of the fact that the dispute is in connection with a tripartite agreement. Each party claiming rights to 1/3rd entitlement under the same. It isn't anyone's case that, after the death of Late Shri. Pascol Trindade, the agreement dated 01.04.2013 ceased to be a tripartite agreement and transformed itself into a five party agreement, in view of the LR's/Moiety claiming a right to the share of the deceased. In terms of the said tripartite agreement the expression "Party of the First Part" always included LR's etc. therefore Respondent No. 1, 2 and 3 cumulatively become one "party" to the tripartite agreement and under no circumstances be considered to be 3 separate "parties". Therefore, the LR's/Moiety of one of the parties to the tripartite agreement cannot be directed to deposit more than the other parties. Whether the amount asked to be paid is called a deposit or fee does not make any difference. Each of the parties to the tripartite agreement dated 01.02.2013, needs to deposit the same amount in all fairness and equity.

O R D E R

13. In view of the above, I allow application dated 15.02.2025 by modifying the minutes of proceedings dated 26.08.2024 and direct that the initial deposit of cost and the fees pertaining to the arbitration proceedings shall be borne equally by parties to the arbitration agreement, i.e. Articles of Association dated 01.04.2013. it is made clear that each of the parties to the said tripartite agreement shall deposit an amount of Rs. 5 Lakhs. Respondents 1, 2 and 3 who have deposited Rs. 6 Lakhs in total, will be entitled to a refund of Rs. 1 lakh from the said initial deposit.



Place: Panaji – Goa.
Date: 08.06.2024

Sr. Adv. Nitin N. N. P. Sardesai
Sole Arbitrator